

Salazar argues that the phrase “shall not be interpreted to restrict the Parties’ rights to seek provisional injunctive relief in an appropriate forum” lacks mutuality because “[in the employment context, it is the employer who seeks provisional injunctive **relief for trade secret misappropriation or breach of restrictive covenants**. This provision systematically favors the employer by preserving court access for the injunctive relief Defendants are most likely to seek, while forcing Plaintiff to arbitrate her damages-based discrimination and wage claims.” (Salazar’s Opposition Papers, pg. 4, Ins. 8-12. [Emphasis added.])

However, Salazar fails to demonstrate how the aforementioned phrase has anything to do with “trade secret misappropriation” or “restrictive covenants.” All that phrase does is simply reference the parties’ rights under Code of Civil Procedure section 1281.8, and allowing either party to seek provisional injunctive relief during arbitration is not unconscionable. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 499 citing *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1247.)

Accordingly, this Court does not find that the phrase “shall not be interpreted to restrict the Parties’ rights to seek provisional injunctive relief in an appropriate forum” to lack mutuality.

Highly Onerous and Technical Pre-Arbitration Notice Requirement

Salazar next argues that Paragraph 3 “imposes an onerous and highly technical pre-arbitration notice requirement” (Salazar’s Opposition Papers, pg. 4, Ins. 816-17) by requiring Salazar to send written notice of her claim to the “Agent for Service of Record for the Company filed with the Secretary of State.”

Salazar contends, without evidence, that a layperson typically does not know what an Agent for Service of Process is, and does not possess the “sophistication” to navigate the California Secretary of State website. Salazar provides no evidence to support the same.

However, Western Valley adequately points out that under these circumstances, “Plaintiff had no issue serving her lawsuit on Defendant, and therefore, the contention is irrelevant.” (Western Valley Reply Papers, pg. 6, Ins. 7-8.)

Therefore, Salazar has not met her burden of establishing that the any provisions in the Agreement are substantively unconscionable.

Accordingly, Western Valley’s motion to compel arbitration is granted, and this action is stayed pending the resolution of the arbitration. (Code of Civ. Proc., §1281.4.)

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: JS **on** 5/19/2026.
(Judge’s initials) (Date)

(34)

Tentative Ruling

Re: ***Soto v. Espinoza Brothers Food Distribution, Inc., et al.***
Superior Court Case No. 22CECG03830

Hearing Date: May 21, 2026 (Dept. 503)

Motion: by Plaintiffs for Final Approval of Class Action Settlement

Tentative Ruling:

To grant the motion for final approval of the class and PAGA settlement.

To grant the motion for attorney fees in the amount of \$66,500 and litigation costs in the amount of \$17,703.85. To approve the class representative service awards in the reduced amount of \$5,000 to each named plaintiff.

Plaintiffs are directed to submit a proposed judgment consistent with the court's order.

To order the parties to return on May 20, 2027, at 3:30 p.m. in Department 503 to inform the court of the total amount actually paid to the class members, pursuant to Code of Civil Procedure section 384, subdivision (b), so that the judgment can be amended and the distribution of any cy pres funds can be ordered. The parties are ordered to file a declaration from the administrator as to the payout and amount of uncashed checks no later than May 10, 2027. As required by California Rules of Court, rule 3.771(b), notice of the judgment is to be given to the class. Notice may be given by an insert with the settlement check that states judgment was entered with a link to the court's website and directions to enter the case number.

Explanation:

Final Approval of Settlement

California Rules of Court, rule 3.769(g) states: "Before final approval, the court must conduct an inquiry into the fairness of the proposed settlement." Subsection (h) states: "If the court approves the settlement agreement after the final approval hearing, the court must make and enter judgment. The judgment must include a provision for the retention of the court's jurisdiction over the parties to enforce the terms of the judgment. The court may not enter an order dismissing the action at the same time as, or after, entry of judgment." (Emphasis added.)

The Court has vetted the fairness of the settlement through prior hearings, each with its own filings. The settlement here generally meets the standards for fairness, and the class has approved it, with no objections, or disputes and one opt-out. Ultimately only 115 of the 1,932 notices were undeliverable. The court finds that the method of

notice followed, which this court approved at the prior hearing, comports with due process and was reasonably calculated to reach the absent class members:

"Individual notice of class proceedings is not meant to guarantee that every member entitled to individual notice receives such notice," but "it is the court's duty to ensure that the notice ordered is reasonably calculated to reach the absent class members." *Hallman v. Pa. Life Ins. Co.*, 536 F.Supp. 745, 748–49 (N.D.Ala.1982) (quotation marks and citation omitted); see also *In re Viatron Computer Sys. Corp. Litig.*, 614 F.2d 11, 13 (1st Cir.1980); *Key v. Gillette Co.*, 90 F.R.D. 606, 612 (D.Mass.1981); cf. *Lombard*, at 155. After such appropriate notice is given, if the absent class members fail to opt out of the class action, such members will be bound by the court's actions, including settlement and judgment, even though those individuals never actually receive notice. *Cooper*, 467 U.S. at 874, 104 S.Ct. 2794; 7B Charles Alan Wright, Arthur R. Miller & Mary Kay Kane, *Federal Practice and Procedure* § 1789 (2d ed.1986).

(*Reppert v. Marvin Lumber and Cedar Co., Inc.* (1st Cir. 2004) 359 F.3d 53, 56-57 emphasis added.)

Attorney's Fees and Costs

The settlement provided that the parties agreed (i.e., defendant agreed not to oppose) fees calculated at up to one-third of the gross settlement amount, or \$66,500. Although the court has discretion to grant attorney's fees in class actions based on a percentage of the total recovery, the trial court may also use a lodestar calculation to double check the reasonableness of the fee award. (*Laffitte v. Robert Half Intern. Inc.* (2016) 1 Cal.5th 480, 504-506.)

In the present case, counsel has submitted evidence of the hours expended during litigation by the attorneys with the Wilshire Law Firm. The declaration of John G. Yslas summarizes the total hours incurred of the timekeepers and their billing rates for a lodestar of \$161,725.00. (Yslas Decl., ¶ 20.)

The assessment of the lodestar begins with determining the number of hours reasonably expended multiplied by the reasonable hourly rate. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1134.) Reasonable hourly compensation is the "hourly prevailing rate for private attorneys in the community conducting noncontingent litigation of the same type" (*Id.* at p. 1133.) The hourly rates of counsel exceed the prevailing rates for private attorneys in the community. However, after a modest reduction in billing rates the lodestar exceeds the percentage-based fee sought.

Accordingly, the motion for an award of attorney fees is granted in the amount of \$66,500.

The request for actual costs of \$17,703.85 is supported with evidence and is approved. The remaining \$1,086.91 of the \$18,790.76 reserved for costs can be returned to the common fund for the benefit of the class members.

Payment to Class Representatives

Representative plaintiffs Cruz Soto and Monica Nanelly Garcia request approval of an award of \$7,500 each for their roles as representative plaintiffs and the additional time, effort, and risk accepted in performing her role. Plaintiff Garcia's declaration submitted on May 12, 2025 in support of the request for preliminary approval of the settlement attests to spending at least 45-50 hours on the case and concern about the publicly available information showing she sued her former employer potentially hurting her employability. (Garcia Prelim. Decl., ¶¶ 12-13, 17.) Plaintiff Soto similarly attests to his concern with future employability after participation in the lawsuit and having spent at least 50 hours assisting in the prosecution of the case. (Soto Prelim. Decl., ¶¶ 12, 15-16.) With this information the court indicated in ruling on the motion for preliminary approval that it anticipated reducing the incentive awards based on the disparity between the incentive awards and the average recovery.

The evidence submitted with this motion for final approval does not support awarding the requested \$7,500 to each plaintiff. The declarations submitted on March 18, 2026 contradict the previous amount of hours allegedly spent assisting with the prosecution of their action and fail to identify risks to employability beyond speculation. Both plaintiffs now attest to spending only 24 hours assisting their attorneys with the case. (Soto Decl., ¶ 8; Garcia Decl., ¶ 6.)

The court recognizes the risks in paying an award of costs in the event the lawsuit was unsuccessful and the possibility of an impact to plaintiffs' future career prospects. The estimated settlement payments of \$449.51 and \$766.82 do not fairly represent those risks or efforts in obtaining a settlement that will yield payments to the other class members. The court intends to approve a reduced incentive award of \$5,000 to each named plaintiff. The \$5,000 balance will be added to the Net Settlement Fund for the benefit of the class members.

Payment to Class Administrator

Plaintiffs also request court approval of a \$7,750 payment to the settlement administrator ILYM Group, Inc. for the costs of administering the settlement. (Howard Suppl. Decl., ¶ 14.) The administrative cost payment appears to be reasonable given the amount of work to be performed in sending out class notices, tracking down missing class members, handling questions from class members and parties, and sending out payments to class members, as well as providing declarations in support of the motions for class settlement approval. Therefore, plaintiffs have shown that the payment of \$7,750 to the class administrator is reasonable and should be approved.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: JS **on** 5/19/2026.
(Judge's initials) (Date)